THINK Ahead: The big June gamble

European central bankers are threatening rate hikes in June. But if they're hoping for clarity on inflation over the next six weeks, they're likely to be disappointed, argues James Smith. Come for the niche economics memes, stay for our preview of the week ahead...

Source: Imgflip

The big June gamble

Don't ask me why, but this week's European Central Bank meeting got me thinking about a meme from *The Simpsons*. The one with the bus driver who silently taps a sign reading "Don't talk to the driver" every time a passenger strikes up conversation.

Christine Lagarde could have saved herself a lot of effort this week by doing much the same. A gentle tap on a banner saying "We're hiking in June unless energy prices collapse" would probably have covered most of the questions.

She didn't put it quite that bluntly, of course. But she did say the Governing Council had a lengthy discussion about hiking. She said the ECB is moving away from its previous baseline, towards a world implicitly associated with higher interest rates. And, most tellingly, she said "directionally" that she knew where rates were heading.

If that still wasn't explicit enough, an inevitable "ECB sources" quote soon followed, suggesting a June hike is highly likely.

What stood out more to me, though, was Lagarde's suggestion that the ECB would have "a lot more information" on how the crisis is feeding through to inflation by the June meeting, just six weeks away.

That feels optimistic.

Yes, headline inflation is going higher. It's already at 3% and our team expects it to push towards 4%, broadly consistent with the ECB's "adverse" March scenario, and the one Lagarde now appears to be emphasising.

And yes, consumer inflation expectations have jumped, too. Data this week showed households expect inflation of 3% three years out, up from 2.5%, matching the highs of 2022. Something similar has happened in the UK.

That's already two of the three warning lights Carsten Brzeski identified in his ECB preview.

But neither tells us much about persistence, nor about the strength of second round effects. And that will take time. Food inflation – one of the clearest channels for energy prices to feed through – is unlikely to peak before next winter.

It may take even longer for inflation pressures to show up in prices less directly affected by energy. Think services that are repriced annually. Or wages, which in Europe are governed by slow, multi year bargaining processes.

True, the ECB and other central banks will see more survey data by June. So far, those hint at only partial pass-through from higher input costs to output prices. But most businesses, like the rest of us, still don't really know how this crisis will affect them – let alone where the crisis itself is headed.

It's not at all clear that we will be much the wiser by June. There's a growing view in energy markets that the current stalemate could drag on. Dated Brent – physical oil ready for delivery – is trading around $122/bbl, some $10 higher than a week ago.

Then again, geopolitical experts point to a planned meeting between Presidents Trump and Xi in mid-May, and whether the US will want it to be overshadowed by events in and around the Gulf. That raises at least the possibility of a deal that allows some tankers to move again.

Our own updated oil forecasts are based loosely on a scenario where disruption to oil flows reduces from 70% today to 35% through May. If that entails a fragile, volatile truce in the Strait without a broader conflict resolution, then I think it would pose a significant dilemma for central banks in June.

The question is what matters more, the volume of oil already lost along with the supply chain impact that has already been baked in? Or the flow of oil and gas going forward, which – even if uncertain and only partially restored – could push energy prices lower over the summer?

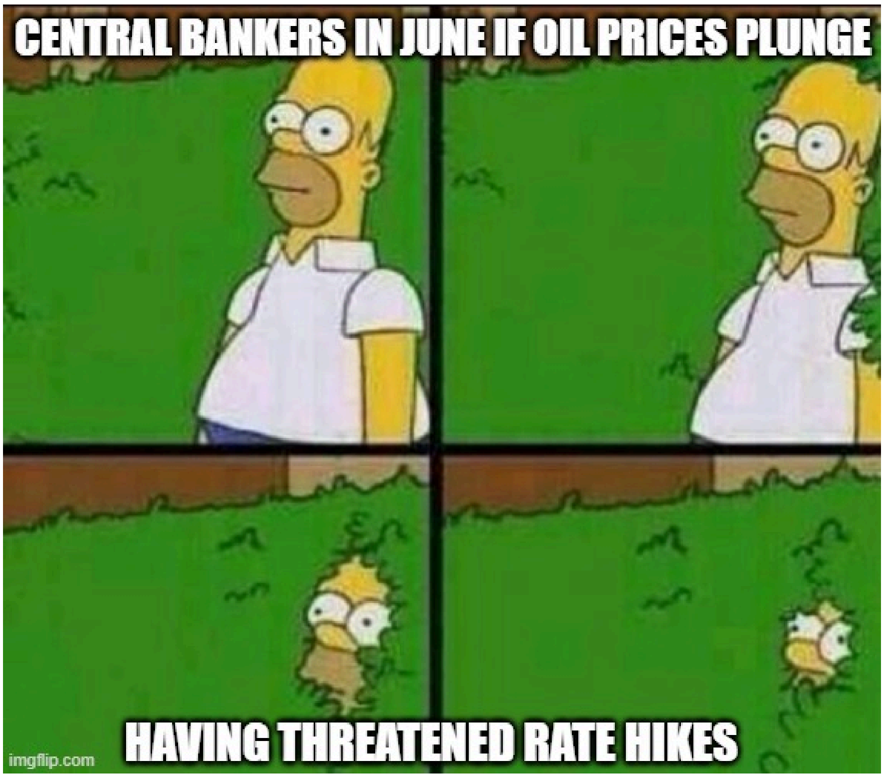
For June, my money is on the former. As long as markets are pricing rate hikes this year – and as long as that keeps inflation expectations contained – there's only so long central banks will feel able to stay on the sidelines. A June ECB hike is our base case, and after this week's meeting, it is for the Bank of England, too.

Whether those hikes come about because officials have more clarity on the inflation outlook, I'm not so convinced. And whether those hikes are repeated again in September and beyond is equally questionable, in the sort of base case scenario described above.

A lot can still happen over the next six weeks; a gradual return of oil flows is one of many scenarios, each as (im)plausible as the next. A decisive reopening of the Strait of Hormuz and a sharp fall in energy prices is no doubt a wildcard.

If that happens, well, central banks might just take inspiration from another of those famous *Simpsons* memes...

Like Homer, central banks might feel like hiding in a hedge...



Source: Imgflip

THINK Ahead in developed markets

United States (James Knightley)

- **NFP** (Fri): The monthly increases in non-farm payrolls have averaged only 20,000 since January 2025. So, if the US couldn't meaningfully add jobs when the economy was growing robustly and sentiment was strong, it's going to be much harder with huge economic and geopolitical challenges stemming from the Middle East conflict. The ISM employment indices point to contraction while job lay-off announcements remain elevated and consumer confidence surveys suggest sentiment on jobs remains depressed. Yet jobless claims are very low, and the ADP weekly employment statistics have been good. Considering that payrolls surged 178,000 in March with private payrolls rising 186,000, we expect to see a gain closer to 50,000 for April with employment again concentrated in private education and healthcare services.
- **ISM index** (Tue): Other numbers to watch include the ISM services index, which is likely to

soften a touch from strong levels, given the surge in oil costs. New highs for gasoline will also dampen consumer sentiment, with the University of Michigan measure potential hitting new series lows as households fret about spending power.

THINK Ahead in Central and Eastern Europe

Poland (Adam Antoniak)

- **NBP decision** (Wed): Even though gasoline price increases were halted in April, partly due to cuts in VAT and excise duties, and food price growth slowed further in annual terms, headline inflation increased to 3.2% year-on-year last month on the back of higher core inflation. This might be a warning sign for some policymakers, but we expect the National Bank of Poland (NBP) to keep rates unchanged in May (main policy rate still at 3.75). We believe rate setters will stick to a wait-and-see approach and to continue to monitor incoming economic data to assess the impact of the current energy shock on both inflation dynamics and economic activity.

Hungary (Peter Virovacz)

- **Inflation** (Fri): We are heading into an extremely busy week for Hungary, but the most relevant data release comes on Friday. The April inflation figure will be closely watched by the markets and by the National Bank of Hungary. The March figure was a pleasant surprise, showing only mild acceleration in the initial wave of price shocks resulting from the war in the Middle East. With the fuel price cap still in place, our focus is on the second-round effects, and we anticipate a limited impact with a 0.6% monthly repricing. The key mitigating factor is the strength of the forint. Services, durables and clothing will be among the drivers of price pressures, while household energy will dampen price pressures due to methodological reasons.

Czech Republic (David Havrlant)

- **PMI** (Mon): The industrial PMI likely softened in April, as elevated oil and natural gas prices along with substantial geopolitical uncertainty began to bite. A tangible deterioration is likely to be seen over the coming months, with conditions becoming more difficult amid the ongoing conflict in the Middle East. Inflation in April is likely to have increased, driven by further gains in fuel prices. That said, we assume that prices in other parts of the consumer basket have also gained traction. Industrial output in March likely maintained its positive growth pace, as the effects of weakening demand and emerging supply chain disruptions are only likely to become visible with a lag. Despite the pickup in inflation, the Czech National Bank will likely hold rates unchanged, as the negative consequences for economic activity are expected to follow suit. Being in a relatively comfortable position, policymakers can take a wait-and-see stance for all the right reasons.

Turkey (Muhammet Mercan)

- **Inflation** (Mon): We expect April inflation to remain high at 2.9% (translating into 30.7% on an annual basis) given the ongoing pressures linked to geopolitical developments and the high and volatile energy prices. Accordingly, administrative price adjustments in electricity and natural gas will determine the April inflation, while signals of a slowdown in economic activity are likely to be a restraining factor, in our view.

Armenia and Azerbaijan (Dmitry Dolgin)

- **Rate Decisions:** We expect the central banks of Armenia (5 May) and Azerbaijan (6 May) to keep the policy rates on hold – at 6.50% in both cases. This would follow the example of Kazakhstan and Uzbekistan, which also opted for unchanged policy rates reflecting a mix of domestic and external risk factors. While the current domestic CPI trends in the CIS region appear to be largely benign, the ongoing tensions in the Middle East and the resulting increase in global commodity prices call for region-wide caution in terms of monetary policy, in our view.

Key events in developed markets next week

	Monday 4 May		
US	1500 Mar Factory Orders (MoM%)	0.4	0
Eurozone	0900 Apr HCOB Manufacturing PMI Final	-	52.2
Germany	0855 Apr HCOB Manufacturing PMI Final	51.2	51.2
Italy	0845 Apr S&P Global/IHS Manufacturing PMI	-	51.3
	Tuesday 5 May		
US	1330 Mar International Trade (USD bn)	-62.5	-57.3
	1445 Apr S&P Global Composite PMI Final	-	52
	1445 Apr S&P Global Services PMI Final	-	51.3
	1500 Apr ISM Non-Manufacturing PMI	53.2	54
	1500 Mar New Home Sales (mn)	0.7	0.6
Canada	1330 Mar Trade Balance (CAD bn)	-	-5.74
Switzerland	0730 Apr CPI (MoM%/YoY%)	-/-	0.2/0.3
	Wednesday 6 May		
US	1315 Apr ADP Employment Change (000s)	75	62
Eurozone	0900 Apr HCOB Services PMI Final	-	47.4
	0900 Apr HCOB Composite PMI Final	-	48.6
Germany	0855 Apr HCOB Services PMI Final	46.9	46.9
	0855 Apr HCOB Composite PMI Final	48.3	48.3
France	0745 Mar Industrial Output (MoM%)	-	-0.7
	0850 Apr HCOB Composite PMI	-	47.6
UK	0930 Apr S&P Global/CIPS Serv PMI Final	52	52
	0930 Apr S&P Global Composite PMI Final	52	52
Italy	0845 Apr Composite PMI	-	49.2
Spain	0815 Apr Services PMI	-	53.3
Norway	0700 Apr CPI (MoM%/YoY%)	-/-	0.2/3.6
	Thursday 7 May		
US	1330 Initial Jobless Claims (000s)	202	189
	2000 Mar Consumer Credit Change (USD bn)	11	9.5
Eurozone	1000 Mar Retail Sales (MoM%/YoY%)	-/-	-0.2/1.7
Germany	0700 Mar Industrial Orders (MoM%)	0.5	0.9
France	0745 Mar Trade Balance (EUR bn)	-	-5.8
Norway	0900 Key Policy Rate	-	4.00
Sweden	0830 Key Policy Rate	-	1.75
Switzerland	0800 Apr Unemployment Rate Adjusted	-	3
	Friday 8 May		
US	1330 Apr Non-Farm Payrolls (000s)	50	178
	1330 Apr Private Payrolls (000s)	55	186
	1330 Apr Unemployment Rate (%)	4.3	4.3
	1500 May Michigan Sentiment Flash	49.4	49.8
	1500 May Michigan Conditions Flash	52	52.5
	1500 May Michigan Expectations Flash	47.5	48.1
Germany	0700 Mar Industrial Output (MoM%/YoY%)	3	-0.3/0
	0700 Mar Exports	-3	3.6
	0700 Mar Imports	-4	4.7
	0700 Mar Trade Balance (EUR bn)	20.1	19.8
Canada	1330 Apr Unemployment Rate	-	6.7
Netherlands	0530 Mar Manufacturing Output (MoM%)	-	-1.3

Source: Refinitiv, ING

Key events in EMEA next week

Country	Time (BST)	Data/event	ING	Prev.
		Monday 4 May		
Russia	0700	Apr S&P Global Manufacturing PMI	-	48.3
Turkey	0800	Apr CPI (MoM%/YoY%)	2.9/30.7	1.9/30.9
	0800	Apr Manufacturing PMI	-	47.9
Poland	0800	Apr S&P Global Manufacturing PMI	49.2	48.7
Hungary	0800	Apr Manufacturing PMI	54.1	50.4
Czech Rep	0830	Apr S&P Global PMI	51.0	52.8
Kazakhstan		Apr CPI (MoM%/YoY%)	0.9/10.7	0.6/11.0
		Tuesday 5 May		
Armenia		Policy rate (%)	6.50	6.50
		Wednesday 6 May		
Russia	0700	Apr S&P Global Services PMI	-	49.5
Azerbaijan		Refinancing Rate (%)	6.50	6.50
Poland	1300	May NBP Base Rate	3.75	3.75
Czech Rep	0800	Apr CPI (MoM%/YoY%)	0.5/2.6	0.6/1.9
Hungary	0730	Mar Industrial Output (MoM%/YoY%)	1.4/2.9	-1.8/-1.5
		Thursday 7 May		
Czech Rep	0800	Mar Industrial Output (YoY%, WDSA)	1.4	1.3
	0800	Mar Trade Balance (CZK bn)	20.5	19.3
	1430	CNB Rate Decision	3.50	3.50
Hungary	0730	Mar Retail Sales (YoY%)	4.8	3.8
Ukraine	1330	Apr CPI (MoM%/YoY%)	-/-	1.7/7.9
Serbia	1100	May Benchmark Interest rate	5.75	5.75
		Friday 8 May		
Turkey	0800	Mar Industrial Output (YoY%)	-	2.2
Hungary	0730	Apr Core CPI (YoY%)	2.6	1.9
	0730	Apr CPI (MoM%/YoY%)	0.6/2.2	0.4/1.8
	1000	Apr Budget Balance (Monthly, HUF bn)	-350	-1314

Source: Refinitiv, ING

Author

James Smith
Developed Markets Economist, UK
james.smith@ing.com

James Knightley
Chief International Economist, US
james.knightley@ing.com

Adam Antoniak
Senior Economist, Poland
adam.antoniak@ing.pl

Peter Virovacz
Chief Economist, Hungary
peter.virovacz@ing.com

David Havrlant
Chief Economist, Czech Republic
420 770 321 486
david.havrlant@ing.com

Muhammet Mercan
Chief Economist, Turkey
muhammet.mercan@ingbank.com.tr

Dmitry Dolgin
Chief Economist, CIS
dmitry.dolgin@ing.de

Disclaimer

FX Daily: Japan's 2026 FX intervention campaign begins

Market participants widely believe that Tokyo authorities intervened in USD/JPY yesterday. This marks the first action of what could be a long campaign to keep USD/JPY under 160 this year. Elsewhere, financial markets remain happy to ignore the stagnation part of this stagflationary shock as US earnings perform well. Yet, the dollar can hold gains

Tokyo has fired the starting pistol on its 2026 intervention campaign

Due to the 4 May UK bank holiday, the next edition of the FX Daily will be published on Tuesday, 5 May

USD: Japan will have sold a lot of dollars

We should have seen it coming, really. USD/JPY was trading above 160 heading into the start of a series of global May Day holidays, and just like it did in 2024, it very much looks like Japan has intervened again. Back in 2024, the Bank of Japan did follow up its $30bn plus sales of FX on 29 April with another (smaller) round of intervention on 1 May. And this will mean investors will be bracing for potentially more intervention through the early part of next week, given further public holidays in Japan and around the globe. Back in 2024, that intervention in thin markets was worth a move all the way to 152, but it only bought Tokyo some time before USD/JPY traded to a new high two months later. The same applies today. Unless Washington gets involved, we think there will be good demand for USD/JPY near 155, given high energy prices, hesitant BoJ tightening, and a Fed being blown off its easy course.

What could have been $30bn of dollar sales yesterday, plus healthy equity markets, has seen the dollar weaker across the board. Lower oil prices have certainly helped here, and there has even been some suggestion that Tokyo might have intervened in crude oil futures markets, too. Yet the Iranian hardliners are showing no signs of conciliatory steps, and few will have any confidence that the recent dip in energy futures is sustainable. With a slowdown in hard activity surely just around the corner, we doubt the dollar needs to fall too far at the moment.

For today, the US focus will be on the April manufacturing ISM and a TV appearance from the Federal Reserve's Stephen Miran – the first Fed speaker after this week's split FOMC decision. He's expected to sound dovish, having again voted for a rate cut this week. But inflation expectations are rising, the Fed is becoming more cautious, and the market will struggle to price in renewed Fed easing until oil prices turn substantially lower.

DXY should continue to find support near 98.00 and can gravitate back to 98.50.

Chris Turner

EUR: ECB had little bearing on the euro

Given the volatility in oil markets yesterday, it has been hard to disentangle how much impact communication from the European Central Bank has had on short-dated euro interest rates and the euro. The conclusion is probably not too much, given that a June rate hike is still priced around 90%. The 10bp fall in short-dated EUR swap rates was probably more oil than ECB driven anyway. That said, at least the ECB was sounding tough enough to protect the euro, and its job is to keep tightening expectations and market-based interest rates high enough to avoid an unwelcome drop in real interest rates.

We tend to favour EUR/USD continuing to trade in a 1.1650-1.1750 range in the near term and do not expect the dollar to return to its benign bear trend until there is a lot more clarity in the Gulf.

Chris Turner

GBP: A confusing picture

Sterling presents a confusing picture at the moment. Some read yesterday's Bank of England communication as dovish, even though our take is that it is laying the groundwork for a hike in June. That dovish read by some may have been influenced by witnessing the decent fall in short-dated GBP swap rates – even though that move was probably driven by lower oil prices. And if oil prices were lower and GBP rates were falling faster than EUR rates, that should have been EUR/GBP bullish, based on the relationship between oil, rates and FX we have seen since the war broke out. But no, EUR/GBP fell on the day. That may have been a function of month-end flows, where equity portfolio managers were rebalancing into UK asset markets after their underperformance in April.

Clearly, it is a confusing picture and one that leaves major EUR/GBP support vulnerable at 0.8600/8610 in holiday-thinned trading conditions. We think sterling should be underperforming soon – but both we and most investors have been saying that for a long time.

Chris Turner

CEE: Rates remain wild while FX is stable

The end of the week should be quiet in CEE after a series of data yesterday and wild rates moves following core markets. Most countries in the region will be closed today for a public holiday. However, the market will have some time to process yesterday's initial sell-off and subsequent rally in rates before the weekend and the closed UK market on Monday, when liquidity in the CEE region is usually scarce.

Rates saw some relief, especially at the long end of the curve, following the rally in core markets. However, the front-end remains largely unchanged with around 80bp of rate hikes priced in in Poland and the Czech Republic for this year, while Hungary is still expected to remain on hold for the whole of this year before opting for some rate cuts next year. The increasing likelihood of a rate hike from the ECB and now from the BoE increases the likelihood, in our opinion, that National Bank of Poland and Czech National Bank pricing can materialise, although our economists' baseline remains unchanged.

Of course, if we see a rapid de-escalation of the conflict in the Middle East, it is the front-end that will see the most relief. Still, the market will leave some room for rate hikes solely because of the ECB and a potential second round of inflation. This makes the current markets complicated, and the sequence of events can be pretty mixed from the current point. However, one thing remains unchanged – and that's CEE FX, which has seen little attention since the beginning of the conflict. Nothing will change on that front in the coming days, but in the medium-term, central banks' reactions to a potential ECB rate hike could increasingly come into play.

Frantisek Taborsky

Author

Chris Turner
Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

Frantisek Taborsky
EMEA FX & FI Strategist
frantisek.taborsky@ing.com

Francesco Pesole
FX Strategist
francesco.pesole@ing.com

ECB moves closer to June hike

While the European Central Bank kept interest rates on hold at today's meeting, ECB president Christine Lagarde's comments at the press conference suggest that a June hike has come closer

At today's press conference, ECB president Lagarde made a hawkish shift with a rate-hike bias

As stagflationary pressures in the eurozone increase, the ECB has decided to keep interest rates on hold. In its policy statement, the ECB acknowledged rising inflationary pressures but also more downward risks to growth. ECB president Christine Lagarde's comments during the press conference stressed the intensified risks for both growth and inflation. Lagarde stressed that the current state of the eurozone economy had moved away from the March base case scenario, but she refused to indicate where the ECB saw the eurozone economy compared with the alternative scenarios from March.

The most remarkable comments during the press conference were the mentioning of a debate on a rate hike at today's meeting. While Lagarde stressed that the decision to keep rates on hold today had been taken unanimously, the mention of a rate hike debate clearly suggests that the ECB has moved closer to a rate hike at the June meeting.

All of this means that unless there is a quick end to the war in the Middle East, headline inflation continues to increase and knock-on effects on transportation, food prices and other parts of the supply chain continue, the ECB is clearly moving towards a rate hike in June.

Moving closer to June hike

The motivation or justification for such a rate hike was not entirely clear today. Unfortunately, no journalist actually asked why the ECB, or at least some ECB members, actually saw the need for a rate hike. In fact, while there have been many references to 2022 when assessing next steps for the ECB, the experience of 2011 might be a better starting point. Back in 2011, the ECB hiked interest rates – admittedly from slightly lower levels than currently – to tackle rising inflationary pressures. Only to find out that these rate hikes pushed the eurozone economy further into stagnation. As the ECB had underestimated the adverse effects of the sovereign debt crisis, the 2011 rate hikes were reversed quickly. Underestimating the adverse impact of a shock and focusing too much on rising inflation as a result of higher energy prices? The ECB has been there.

All in all, the main take-away from today's ECB meeting can probably be described as another hawkish shift, introducing a clear hiking bias to its wait-and-see stance. It's still hard to see that the ECB would really want to fight an exogenous supply shock at the cost of worsening an economic downturn. However, a rate hike, be it symbolic or even a policy mistake, at the June meeting has clearly become more likely today.

Author

Carsten Brzeski
Global Head of Macro
carsten.brzeski@ing.de

Webinar: Asia's energy shock - Who is most exposed?

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Speakers

Deepali Bhargava, Regional Head of Research, Asia-Pacific

Lynn Song, Chief Economist, Greater China

Min Joo Kang, Senior Economist, South Korea, Japan

Hosted by ING Editor William Pesek

Details

Date: Thursday, 7 May

Time: 1500 HKT/ 1600 KST /0900 CEST

The webinar will last 30 minutes, including a Q&A session at the end. The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time. A joining link will be emailed following registration and you will receive a reminder email 10 minutes before the scheduled start time.

Author

Deepali Bhargava
Regional Head of Research, Asia-Pacific
Deepali.Bhargava@ing.com

Lynn Song
Chief Economist, Greater China
lynn.song@ing.com

Min Joo Kang
Senior Economist, South Korea and Japan
min.joo.kang@ing.com

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Rates Spark: A cacophony of mad stuff

Thursday was a mad day, with many markets just doing their own thing. The war 'over there' seemed like a sideshow, of little importance for risk assets at least. And bond yields fell even as inflation breakevens continued to rise. The price of oil even fell, on zero war progress. All a bit disorderly, as central banks talk risks but hold pat

Things swinging in directions that are tough to interpret – but let's give it a go

Some notable moves through Thursday. First, volatility ratcheted lower. Remarkably so. The CBOE volatility index dipped to 17, versus a long-run average of 19. That's quite a benign reading against a backdrop of tremendous war uncertainty. Second, and related, the S&P 500 hit a new all-time high. There's been a notable separation here between equities supported by strong earnings, and the headwinds being posed by the higher oil price. Third, rate-hike concerns continued to build. No changes in rates from the major central banks this week, but they are all morphing in the direction of hikes, especially the European ones.

Phew, let's continue. Fourth, the price of oil fell quite considerably, from $125/bbl to $115/bbl on Brent. And for no good reason. The stand-off between the US and Iran continues, and as the days go by, a $10/bbl move deserves at the very least a better rationale. Fifth, a huge intervention prompted a move in the Japanese yen, in a week when the Bank of Japan chose to hold rates steady. We thought they would hike, or at least should have.

And on bonds, US yields fell through Thursday, with the 10yr dipping from 4.44% to 4.37% (and similar on the front end). But what's important here is the breakout. Inflation breakevens in fact rose – the 10yr is knocking on the door of 2.5%. Real yields fell, and that dominated. That morph toward lower real yields can be a harbinger of things eventually turning sour on the activity front. But front and centre, the main impulse for bonds is higher inflation expectations.

We're heading towards another weekend of potential uncertainty, with Friday, 1 May, seen in the minds of many as something of a key day by which some move needs to happen between the US and Iran with respect to a deal of sorts. Hope is fading on this, which risks seeing the pendulum swinging back in the direction of a resumed kinetic outcome. That would not be great for markets, which would prefer a quick reopening of the Strait, even on a bad deal.

Central banks preparing ground for hikes, the ECB and BOE at least

The tail risk scenario of the European Central Bank already hiking this week did not come to pass. But the fact that President Lagarde mentioned that a hike was debated, could be interpreted as a hint that a hike in June is well on the cards. The market was and still is discounting it with a probability of 90% and the ECB offered little pushback.

Rates had been falling over the past session, led by front ends, but this was owing more to oil prices falling back and, to some extent, also a less hawkish than anticipated Bank of England. Overall, the picture of energy prices driving curves via the front end remains intact, though it has become clear that the central banks' actions ahead are not straightforward given the opposing effects of rising inflation and mounting macro headwinds.

Oil prices bigger driver of GBP rates than inflation nuances

Also, the Bank of England is preparing markets for a higher Bank Rate and our UK economist has now added a 25bp rate hike for June. We would still argue that gas prices are the more important variable to watch for UK inflation dynamics, and given these have risen by significantly less than oil prices so far, we are inclined to push back against the hawkish market positioning.

Having said that, markets are indeed still very closely following the script that links sterling rates directly to oil prices. The fall in oil prices was clearly a bigger driver of the dovish move on Thursday than the Bank of England meeting. So whilst we don't think the 60bp hikes priced in by markets this year is justified, trading such a view remains difficult. Unless oil comes down materially, the hawkish narrative will dominate, with intraday swings in oil prices setting the tone.

Friday's events and market view

Friday, 1 May is a holiday in many jurisdictions. The focus in coming sessions is on the ECB's usual post-meeting communication, although specific speakers are scheduled only from the start of next week. Maybe we will then learn whether someone already deemed a hike necessary in April.

On the data front, the US will release the ISM manufacturing which consensus sees improving. But there will also be a focus on the prices paid component, which is expected to increase as well.

Author

Padhraic Garvey, CFA
Regional Head of Research, Americas
padhraic.garvey@ing.com

Michiel Tukker
Senior UK & Eurozone Rates Strategist
michiel.tukker@ing.com

Benjamin Schroeder
Senior Rates Strategist
benjamin.schroder@ing.com

Norges Bank to hike in May and keep the door open for more

We expect an out-of-consensus 25bp rate hike by Norges Bank on 7 May, due to broad-based inflation concerns amplified by the latest oil market developments. A hold in May would likely only defer the move to June. We expect another NOK rally, though its sustainability would depend heavily on resilience in global risk sentiment

We expect a 25bp hike from Norges Bank at its upcoming meeting next Thursday, but a hold would only defer the move to June

A hike in May, or June at the latest

We expect a 25bp rate hike to 4.25% by Norges Bank on 7 May. Consensus is leaning towards a hold, and markets are pricing in around 55% implied probability of a hike. Should policymakers stay put, a June hike would be highly likely.

Back in March, policymakers sent a clear hawkish message, saying "it will likely be appropriate to raise policy rates at one of the forthcoming monetary policy meetings". For the first time, Norges Bank also published minutes of the meeting, which showed that "some" members were ready to hike rates in March. The monetary policy committee is only formed of five members, meaning that it was a very close call for a hold.

However, more recent geopolitical developments and renewed strength in oil prices point to greater urgency. We also expect Norges Bank to keep the door wide open to further tightening, with an outside risk that officials explicitly indicate another hike could be likely over the coming meetings.

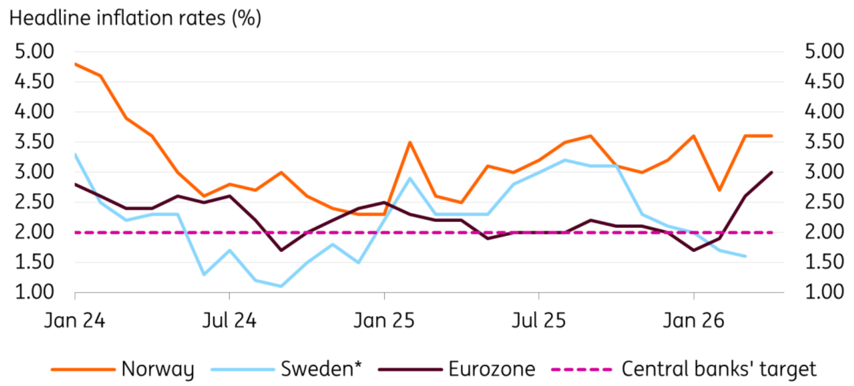
Inflation concerns are more entrenched than elsewhere

Norway's headline inflation rose from 2.7% to 3.6% year-on-year in March, in line with consensus and slightly above Norges Bank's 3.5% projection. While underlying inflation was a key guide for policy decisions before the war, the 3.0% core print for March is not decisive at this stage, as it will take time for second round effects to materialise.

It is also important to note that, unlike the European Central Bank or the Riksbank, Norges Bank was already flagging concerns about inflation dynamics before the war. Some members stressed in March that inflation had remained above target for some time, with elevated rents cited as an example.

The current energy shock has therefore exacerbated pre existing inflation concerns. Against that backdrop, we think Norges Bank is unlikely to adopt the ECB'S wait and see approach and will instead seek to keep market pricing tilted on the hawkish side. In our current forecast, we do not assume a follow up hike after May, but the risks are increasingly skewed toward a more hawkish profile.

Inflation a bigger problem in Norway even before the war



Source: Macrobond, ING

*CPIF used for Sweden

NOK: Norges Bank will help, but risk sentiment remains key

Markets are pricing in 14bp, or about 55% implied probability of a hike at this May meeting. For the moment, consensus is leaning towards a hold. We therefore expect a sizeable bullish response from the Norwegian krone if we are right with our hawkish hike call. Pricing by year-end is about 50-60bp, but markets may be tempted to add another hike to the profile.

Ultimately, though, NOK gains can only prove sustainable if risk sentiment shows more resilience. While higher oil prices have underpinned NOK strength, once they reach levels that can significantly unnerve global equities (especially US ones), then NOK tends to sell off.

For now, we are forecasting as baseline a scenario where a US-Iran deal is reached in May, allowing a partial reopening of the Strait of Hormuz. That can offer support to risk assets while keeping oil prices significantly above pre-war levels.

Paired with Norges Bank tightening, that is a scenario that justifies more EUR/NOK weakness. We see downside risks to our latest forecast of 10.85 for the second quarter and 10.70 by year-end. A break below 10.80 by June is looking increasingly likely, and we could already see 10.70 being tested within the next three months.

Author

Francesco Pesole
FX Strategist
francesco.pesole@ing.com

Disclaimer

CNB preview: Rates set to stay on hold as Hormuz bites

Inflation has picked up recently, while economic growth has slowed. The Czech National Bank will likely respond with no change in rates for as long as it can. Hawkish talk should suffice in our baseline scenario, yet should things turn uglier, one cosmetic hike would likely be due to reinforce the message. Still, no one wants to be seen as choking off growth

Czech National Bank building in Prague

CNB can proceed lege artis

Czech policymakers will likely keep the policy rate unchanged at 3.5% at next Thursday's meeting, though inflation has picked up and is set to increase further. The current turmoil in the Middle East will have twofold implications: higher prices on the one hand and weaker global economic performance on the other. The CNB knows the basic macroeconomic business rather well and finds itself in a relatively comfortable situation vis-à-vis the negative external supply shock, which allows it to wait things out as long as it can to see how the various effects compound.

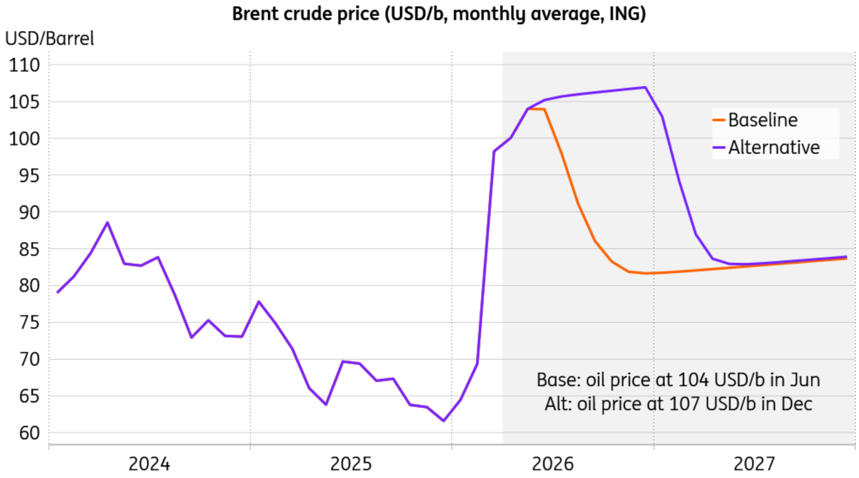
As Jakub Seidler puts it: "I can still imagine that we will get through the current situation without the need to increase rates." A call for restraint echoes across the board, for example with Eva

Zamrazilova: “Rates are where they should be and have a real positive return. So, we really don't have to rush.” We are very much aligned with this way of thinking, as this type of negative supply shock is in essence beyond the CNB’s control, and central banks should ideally look through the current volatility as much as possible.

Protracted conflict means higher inflation

We have updated the Czech inflation path, the key macroeconomic variable for a forward looking central bank’s monetary policy. We currently assume that the conflict in the Middle East lasts until June in the baseline scenario, with Brent crude monthly average prices remaining at USD 104/bbl until that time. From July onwards, the situation may calm down, with Brent crude receding gradually to USD 82/bbl by November. A similar path is assumed for natural gas prices, while the koruna is expected to be weaker from May onwards compared with our previous forecast.

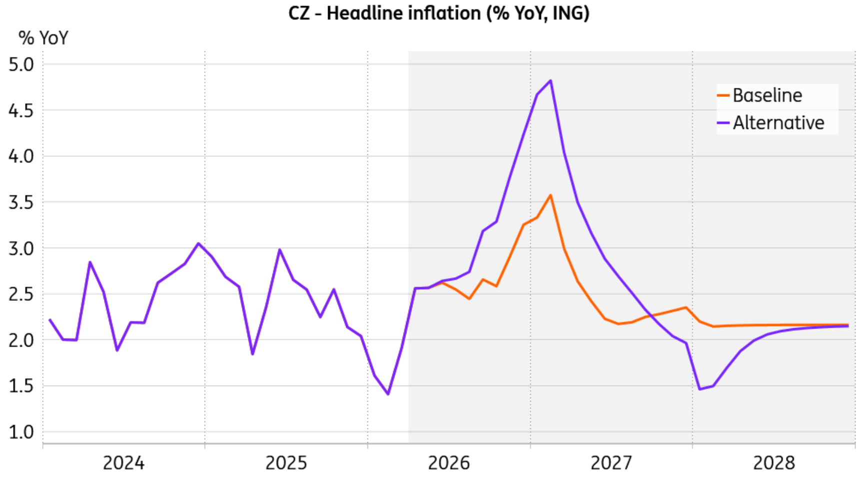
Oil price flies high



Source: ING, Macrobond

This assumes the conflict lasts two months longer than in our previous forecast, pushing average headline inflation to 2.4% this year and 2.6% next year. In such conditions, core inflation would average 3% this year and 2.6% next. Headline inflation is set to peak at 3.6% early next year with the core rate at 3.3%. I assume that the CNB would do the right thing and refrain from touching rates, given this is a negative external supply shock, and pressure for economic activity will follow suit.

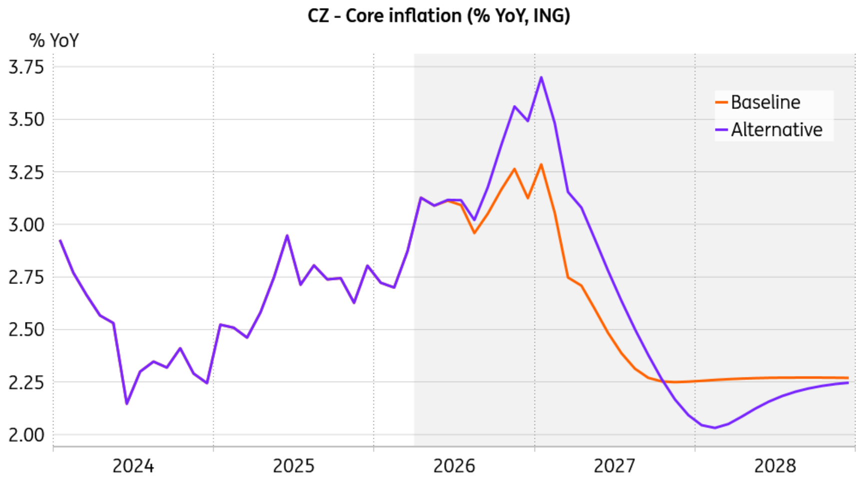
Inflation set to peak early next year



Source: CZSO, ING, Macrobond

Should the conflict drag on till the end of the year, and Brent crude crawl to a monthly average of USD 107/bbl in December, more non-linearities would kick in, while headline inflation would average 2.7% this year and 3.1% the next. Core inflation would average 3.1% this year and 2.8% the next. In such a case, the situation becomes more complicated for the CNB, as headline inflation would peak at 4.8% early next year and the core rate at 3.7%. Some members would likely vote for a hike to confirm the hawkish talk. However, economic growth would likely slow down to some 0.1% quarter-on-quarter in some periods. We therefore expect only a cosmetic hike from September onwards, signalling that actions can follow words. This would require a delicate balancing act in communication and forward guidance.

Core inflation about to gain pace

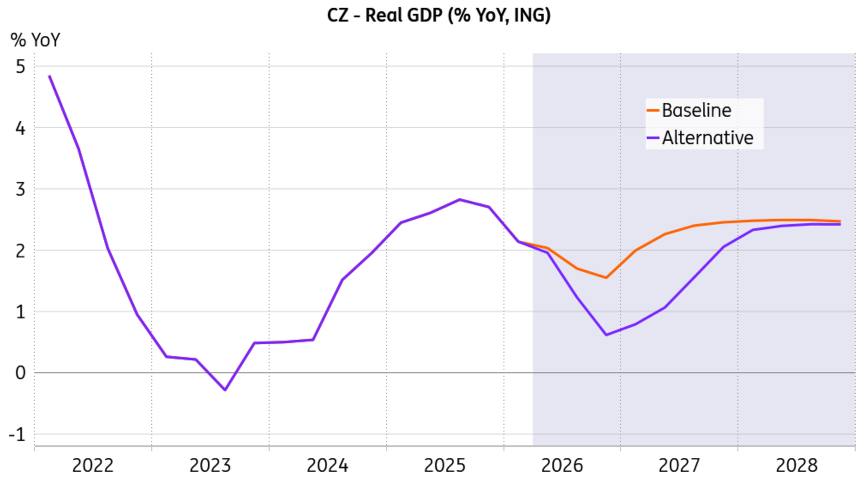


Source: CNB, ING, Macrobond

Economic expansion at risk

Czech real GDP gained 0.2% QoQ in the first quarter, according to preliminary estimates, implying 2.1% annual growth. The quarterly expansion was positively affected primarily by growing gross capital formation, yet we assume that an increase in inventories made a considerable contribution. We expect that firms will postpone or alter their investment plans due to increasing energy prices and uncertainty in the coming quarters, but let's wait for the 1Q26 detailed breakdown. The foreign trade balance made a negative contribution to quarterly GDP growth. Such an outcome aligns with the quarterly increase in gross value added being driven by the service sector, while industry recorded a negative impact. Employment remained unchanged in quarterly terms and added 0.7% from the previous year.

Inter arma silent musae



Source: CZSO, ING, Macrobond

The reading came in well below market expectations, as Hormuz is likely starting to bite. This is consistent with our position that the Middle Eastern turmoil will have tangible negative consequences for economic activity. We just didn't assume such a stark impact would be felt so soon. Still, we must wait for the expenditure breakdown to proceed with a solid analysis. Overall, we maintain our position that the current negative supply shock will have tangible implications for the global economy, and we still believe that most institutions are underestimating the pressure. Taking on board the latest GDP figure, we lower our Czech economic expansion pace to just below 2% this year and to 2.3% next year in the base case scenario. However, in the adverse scenario, GDP growth might only reach 1.5% this year and 1.4% next.

Hard to play without accessible energy

With Czechia representing an industrialised, energy-intensive, export-driven economy, this is not good news either right now or when looking ahead. The European Commission president's observation that the cheapest energy is unused energy is peculiar to put it mildly, as opportunity costs should always be at the top of policymakers' minds. I believe that the opposite is ultimately true. If you cannot proceed as usual in tough times, you only demonstrate your weaknesses, and your competitors will eat you alive. The old saying holds for Europe once again: Vanitas vanitatum et omnia vanitas.

For sure, the CNB is an experienced institution and knows how to proceed lege artis during an external negative supply shock, which is far beyond its control. We will hear plenty of hawkish talk around an unchanged base rate, as nobody wants to push the economy to its knees. A silver bullet of a single hike would show that policymakers are prepared to walk the walk and back hawkish rhetoric with action, with words doing most of the work until late in the cycle. In an adverse scenario, policy could take on a full metal jacket stance in terms of holding the line. Should the European Central Bank give in to temptation and enter the waters of a potential monetary policy mistake by raising rates ante portas, the CNB is not likely to follow suit.

Our market view

The Czech koruna has been trading in narrow ranges since the beginning of the US-Iran conflict, and we have not seen much pressure to weaken. Despite the fact that the conflict has dragged on, FX remains stable, and we have seen EUR/CZK bouncing in the range of 24.250-550. This suggests limited central bank focus on the exchange rate and provides a buffer for any potential ECB hike or escalation of the conflict. At the same time, we do not see much reason to expect a stronger koruna under current conditions. The market is pricing in almost 100bp of rate hikes, so the CNB can't surprise too much on the hawkish side. We therefore expect EUR/CZK to remain range-bound for a longer period of time with potential upside risk in the short term if the US-Iran conflict escalates and the CNB refrains from hiking rates for a longer period of time, opting not to follow the ECB.

The rates market, on the other hand, was where the whole story unfolded. It seems that the market views the CNB as both the most sensitive to ECB moves, and, traditionally, the first central bank in the region to react to rising inflation. As a result, the CZK market is pricing in the largest number of rate hikes in the EMEA region, together with South Africa.

At the moment, we do not expect rate hikes from the CNB, but at the same time, we do not expect the market to fully unwind all expectations even if the conflict were to end immediately. First, hawkish pricing at the ECB level is likely to keep CNB hikes in play for longer. Second, the second-round effects, including higher food prices later on and already elevated core inflation, will sustain at least some hope of a CNB hike.

That said, pricing in four hikes still looks stretched relative to CNB rhetoric. Assuming at least some near term de escalation, the front end of the curve should go down first as part of a relief trade. Over time, we would then expect further flattening due to the economic slowdown and a CNB that remains "ready to hike." This should make the long end of the curve attractive, both in IRS and in CZGBs, given current elevated levels.

Author

David Havrlant
Chief Economist, Czech Republic
420 770 321 486
david.havrlant@ing.com

Frantisek Taborsky
EMEA FX & FI Strategist
frantisek.taborsky@ing.com

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Watch: How energy, China and geopolitics are reshaping the eurozone's goods surplus

ING's Bert Colijn on the cyclical and structural pressures currently being faced by the eurozone's trade balance

How energy, China and geopolitics are reshaping the eurozone's goods surplus

The benign days of the 2010s, from which the eurozone has profited so much, are over. We now expect a more volatile trade balance with a structurally lower surplus for goods

Watch video

Author

Bert Colijn
Chief Economist, Netherlands
bert.colijn@ing.com

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Hawkish Fed members fire warning shot across Warsh’s bow

The Federal Reserve held rates steady with Stephen Miran again voting for a cut, but three members – while not voting for a hike – signalled a growing sense of unease on the inflation front. This suggests a tougher two-way debate on rates at Kevin Warsh’s first FOMC meeting as Chair in June

The Federal Reserve left rates unchanged at Jerome Powell's final meeting as Fed Chair

Fed hawks find their voice

The Federal Reserve has left monetary policy unchanged with officials voting 8-4 in favour of keeping stable rates. Those four are broken down as Stephen Miran again voting for a 25bp rate cut, but with three others – Beth Hammock, Neel Kashkari and Lorie Logan – while not voting for a rate hike, "did not support inclusion of an easing bias in the statement at this time".

The confusing aspect is there isn't specifically a reference to an easing bias. The statement itself says, "The Committee is attentive to the risks to both sides of its dual mandate." This is an unusual way of characterising a vote and it maybe they wanted it included as a shot across the bow of Kevin Warsh, who will be leading the Fed at the next FOMC meeting. They perhaps want to make it clear that they will not be easily swayed to his way of thinking that rates in time can be lowered.

Certainly, the Fed says they will be assessing "a wide range of information, including readings on labour market conditions, inflation pressures and inflation expectations, and financial and international developments". It maybe that the minutes will show they wanted to signal an intention to hike rates if inflation expectations started to push meaningfully higher, risking a more prolonged and broader inflation threat. Markets interpreted it as a hawkish shift, with Fed funds futures contracts discounting stable rates through to year-end, having priced 10bp of cuts in 2026 on Friday.

More disagreement and more market volatility

Today's Senate Banking Committee 13-11 vote in favour of putting Kevin Warsh's nomination to a full Senate ballot means it looks a virtual certainty that he will be signed in as the new Chair just ahead of the 15 May expiration of Jerome Powell's term. The messaging from Warsh is he seemingly wants less of the consensus-driven approach we have seen under previous Chairs, which critics suggest has led to group think that led to slow responses to new events. Instead, Warsh is advocating for an environment where debate and disagreements are encouraged and that looks set to be the case in June. This implies the potential for more surprises and therefore more market volatility. Powell has also said he will continue to serve as a Governor for a "period of time" – his term for that position continues until January 2028 – and this is likely to keep tensions between the President and a more hawkishly positioned Fed, elevated.

Inflation still seen as transitory, but the Fed needs to protect its credibility

Both headline and core inflation have been above the 2% target for five years and looks set to break above 4% next month on gasoline and air fares, so it is understandable why markets and Fed officials are nervous. Officials want to ensure that we don't see higher energy prices feed through into the cost of other goods and services, and so we expect them to talk very tough on this front. This hawkish rhetoric is likely to be stepped up over the next few weeks and until a deal is done in the Middle East that will hopefully provide relief.

Nonetheless, companies have not had much success in passing on the significant cost of tariffs to consumers with CPI goods prices ex-food and energy barely rising 1% year-on-year. Importantly, the current supply shock, focused on fuel prices, is not as broad as the pandemic-related supply chain stresses in 2020/21, and we don't have the same sort of demand impetus that would risk a broader, more persistent inflation story.

Real household disposable incomes are already flatlining amidst a stagnating jobs market, so we see higher fuel prices as being demand destructive via reduced spending power. This is set to weigh on core inflation, and we also need to remember the importance of shelter costs within the US inflation basket (35.5% weighting for headline and 44% for core), which we expect to moderate further. Moreover, if Middle East tensions ease and oil prices drop, there is a high probability of sub-2% year-on-year inflation being achieved in 2027.

Right now, the outlook is highly uncertain and could change very quickly due to developments in the Middle East. We expect the Fed to hold rates steady throughout the summer. Our view, for some time, has been a September rate cut and a December rate cut, but we do recognise that the risk is they are delayed given the current lack of signs of a potential deal. Nonetheless, we still see the prospect of eventual rate cuts being more likely than rate hikes.

Curve flattens on front end scare factor

Earlier, the US 10yr yield had gapped higher, and hit 4.4%. Actually, the whole curve gapped up. The hold-out in the Strait of Hormuz was the catalyst. Some duration selling makes a lot of sense here, where we are in "nowhere land" on a resolution to the war. Extrapolate this, and we could sail back up to the 4.5% area that we hit a few weeks ago. Some of this was echoed in the decision of three Fed members to step away from the underlying easing bias that had dominated policy changes since the wider rate-cutting process began. For these three members, that journey is at an end. The main follow-through from the FOMC outcome is a consolidation at 4.4% for the 10yr, and a further rise in the 2yr to above 3.9% – a flatter curve from the front end. More to come, at least for as long as the hold-off in the Strait continues, and the prognosis there is for the status quo to be in an uncomfortable place.

Between March and April, the implementation notes that accompany the FOMC statement are operationally unchanged, but the tone shifts from active reserve support to maintenance – suggesting the plumbing has calmed enough for the NY Fed Desk to stand down, even as policy stays on hold. Last week the NY Fed cut T-bill buying from US$40bn to US$25bn per month, pointing in the same direction, and indicative of some comfort over the plumbing of the system. The missing ingredient here is the ongoing elevation in the effective funds rate. It remains at 3.64%, a mere 1bp below the rate on reserves at 3.65% (unchanged). It used to be 7bp below (September 2025). The Fed, ideally, would prefer to get it back there. But no big stress here. In all probability, the effective funds rate will be coaxed down as bank reserves slowly rebuild in line with ongoing T-bills buying, even if at a slower pace.

Author

James Knightley
Chief International Economist, US
james.knightley@ing.com

Padhraic Garvey, CFA
Regional Head of Research, Americas
padhraic.garvey@ing.com

Why UK bond yields could rise further on a deeper political crisis

Britain's local elections are a potential market flashpoint. Minimal political risk is priced, even as bond yields hit post 2008 highs of 5%. Borrowing costs could initially climb if the political situation worsens, but a leadership change need not materially alter the fiscal or Bank of England outlook

UK Prime Minister Keir Starmer is in a fight for political survival

Local elections: What's happening and why it matters

Britain's local elections come at a particularly sensitive moment for UK financial markets. Government bond – gilt – yields have just risen above 5% for the first time since 2008, a time when the economy was growing significantly faster than it is today. Much of the latest spike is down to inflation, but the politics can't be ignored. Prime Minister Keir Starmer is in a fight for political survival and a bad election night on 7 May could prove fatal.

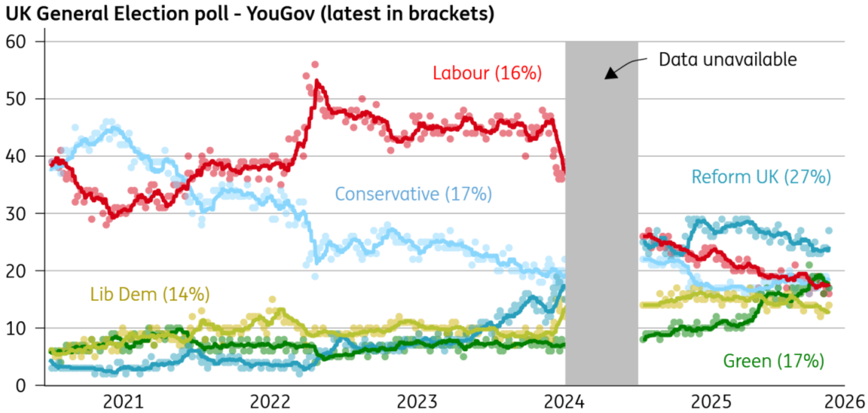
Up for grabs are 5013 local council seats – a little over a quarter of Great Britain's total – plus the Scottish and Welsh parliaments. Starmer's Labour Party looks set to lose up to 90% of the 2268 of its council seats up for election, according to some predictions.

The scale of the defeat will be key. But so too is what drives it.

We know that Nigel Farage's Reform UK is likely to be the main beneficiary of May's elections. The party is running between 25-30% in national polls, up from 15% at the 2024 election. Much of that gain has come at the expense of the Conservative Party, but Reform's rise still poses an issue for Labour.

In Britain's First Past the Post electoral system, general elections are typically won or lost depending on whether the left or the right is more divided. And Reform UK's increasing dominance of the political right comes as the left is increasingly split.

The rise of the Green Party is a bigger issue for Labour than Reform UK



Source: YouGov

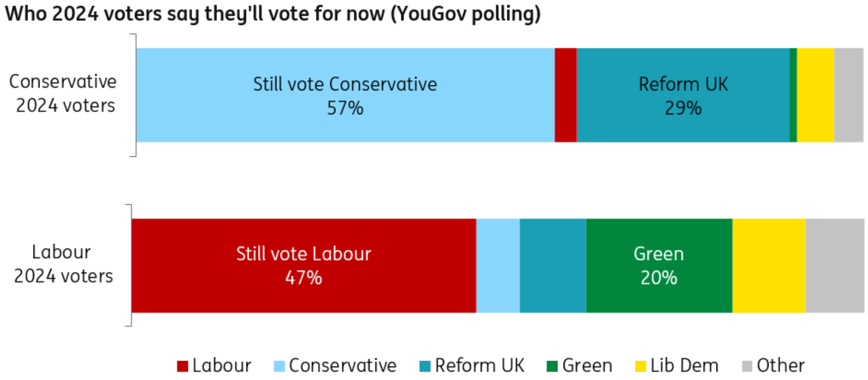
Solid line is the one month moving average

Labour, the Lib Dems and the Green Party are all polling between 14-17% nationally. That's a collapse from 34% at the last election for Labour, but crucially a surge for the Greens, whose share has doubled from 7% in June 2024. If a general election took place tomorrow, Reform would be much more likely to command a majority in Parliament.

To illustrate the point, at 14% of the national vote, Reform won just five seats at the 2024 election. At 24%, that would surge to 188 seats; at 31%, it's 335, according to Multi-level Regression and Post-stratification (MRP) polling by Electoral calculus in January and April of this year. 326 seats are needed for an outright majority.

Britain isn't on the brink of a general election. The next vote isn't until 2029. But Labour's fortunes in three years' time rely on stemming the tide of votes to the Greens and other left-wing parties. A big defeat at the local elections would inevitably focus minds within Labour on what it needs to do to win back support. Polymarket puts a 67% chance on Starmer leaving office by year-end.

20% of Labour 2024 voters would now vote Green



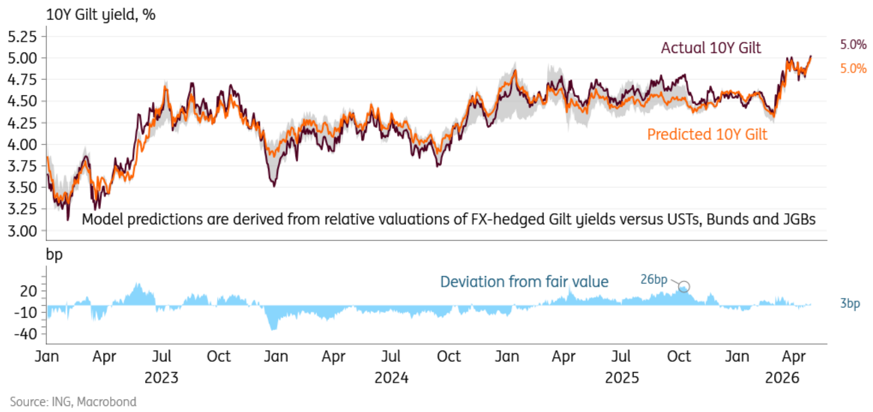
Source: YouGov

How bad would a leadership contest be for markets?

Gilts are already under scrutiny due to inflation risks, and adding political uncertainty to the mix could further push (global) investors to look elsewhere. Whilst we've seen some swings in gilt yields on days with political headlines, we estimate the risk premium on 10Y gilts is still limited. If the situation were to escalate or a leadership contest were to be triggered, the 10Y yield could easily rise another 10-20bp, which would be in line with the nervousness seen in markets prior to the budget announcement last year.

The chain of logic among investors looks like this: a new Labour leader and prime minister would likely mean a new chancellor. A new chancellor, under pressure to take the party towards the left to counter the threat posed by the Green Party, might be more pro-spending. That potentially means new, looser fiscal rules. And new fiscal rules would likely mean more borrowing.

There's virtually no risk premium in 10-year gilts



Source: Macrobond, ING

But the reality might be more nuanced. The infamous 2022 "mini budget", which sparked a sharp though relatively short-lived spike in yields – and mortgage rates – is well etched into the political memory in Westminster. No politician wants to risk triggering a re-run.

Sure, leadership hopefuls may criticise the Office for Budget Responsibility, the independent arbiter of Britain's fiscal rules. Angela Rayner, the betting markets' favourite to become the next Labour leader, has said the OBR fails to account for the wider benefits of public investment.

But that is not the same thing as proposing a new set of fiscal rules. Leadership contenders will be under heavy pressure to rule out changes.

Remember, too, that a leadership contest can only be triggered if 20% of Labour MPs (that's 81) back a single rival candidate. Labour lawmakers might ultimately agree on the need for a new leader, but will they back the same horse?

It might not come to that. Leaders often go when their cabinet turns against them; we saw that with the departure of Boris Johnson in 2022. Nevertheless, a successful leadership candidate will need to command support from across the party. And that might require them to pick a chancellor from a different faction.

A leadership contender on the left of the party might pick someone from its right to head up the Treasury as the price of gaining sufficient support. Doing so might also help calm investor nerves about an impending surge in borrowing.

There also don't appear to be loud calls from within the party for big fiscal loosening right now. A recent speech by two Labour MPs, representing opposite wings of the party, pitched a new economic agenda focused on supply-side policies like tax reform, over big increases in public spending. There haven't so far been widespread calls for a large universal energy support package, either.

Political noise doesn't necessarily boost chances of BoE hikes

The bottom line is that the near-term fiscal trajectory – borrowing over the next one or two years – is unlikely to look wildly different whoever is in charge. And notwithstanding the war in Iran, the fiscal backdrop had been looking brighter; the structural deficit was – and still could – fall this year on the ongoing freeze in tax thresholds.

That matters because it suggests domestic politics is unlikely to have a large bearing on Bank of England policy. And even if it does, it's unlikely the next budget will come earlier than currently planned in late autumn. The Bank can't act on fiscal policy until it is formally announced. The overwhelming focus will remain on the energy crisis and its impact on inflation.

Longer-term, the story becomes more problematic for markets – but again, we suspect this is true whether it is Starmer or someone else in Downing Street. The main fiscal rule – to bring day-to-day spending into balance with tax revenues within three years – is currently met on paper. But only by promising sizeable tax rises, many of which aren't scheduled to kick in until 2029. Real per-capita spending on public services is also slated to fall in that year – a year, don't forget, when the next general election is likely to fall.

In an environment where Labour is struggling in the polls, there will be a lot of pressure to either cancel or offset those plans. And that's before considering the likelihood that defence spending plans will need to be ramped up.

FX markets price little UK election risk

In FX markets, it feels like there is fatigue over the event risk of these local elections. Sterling bears have been talking about 7 May for a couple of months now, but these risks have been swamped by developments in the Middle East. Looking at the FX options market, the volatility term curve shows just a minor kink around the local election date. And for FX options expiring around the day of the event risk, a 30 pip range is priced for EUR/GBP compared to 14 pips on a 'normal' day.

As above then, a fresh bout of risk premia coming through the fiscal side could demand some temporary weakening in the pound. Until, however, energy markets calm down, it is hard to see EUR/GBP breaking clear of swap differentials. These have narrowed in sterling's favour based on the view that the BoE is going to react more aggressively (tighten) than the ECB to higher energy prices. Until the BoE can forcefully get across the view that it is going to hike less than the ECB, it seems as though EUR/GBP can linger a lot longer in the middle of a 0.86-0.88 range than most – including us – had been expecting.

Author

James Smith
Developed Markets Economist, UK
james.smith@ing.com

Michiel Tukker
Senior UK & Eurozone Rates Strategist
michiel.tukker@ing.com

Chris Turner
Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

Kevin Warsh’s Fed confirmation faces tough tests

Kevin Warsh's confirmation hearing to be the next Fed Chair will see him having to tread a fine line between making the case for lower borrowing costs, which helped him get the nomination from the President, and preserving the Fed's inflation-fighting credentials. Politics and the DoJ case against the Fed mean a swift confirmation is unlikely

At his confirmation hearings, Kevin Warsh will have to balance calls for lower borrowing costs and the inflation-fighting credentials of the Federal Reserve

Kevin Warsh's challenge - the President & market credibility

The Federal Reserve has entered its quiet period ahead of the 29 April FOMC meeting, but it will still be drawing headlines given Kevin Warsh's confirmation hearing to become Federal Reserve Chair is being held tomorrow. Once viewed as a hawk when he previously served as a Fed Governor (February 2006-March 2011), he has been nominated by President Trump, who has demanded much lower interest rates from current incumbent, Jerome Powell.

Warsh will inevitably be questioned on how closely aligned he is with the President's thinking. We imagine he will indicate a belief that, over time, lower interest rates make sense. However, preserving market credibility is of paramount importance and there must be justification.

The Iran conflict-induced jump in motor fuel costs creates near-term challenges in an environment where both core and headline consumer price inflation have exceeded the 2% target throughout the past five years. He will be wary of coming across as too dovish. That could heighten market fears of potential unanchored market inflation expectations, prompting higher long-term borrowing costs.

Treasury Secretary Scott Bessent has emphasised that, in his view, the most important metric is the 10Y Treasury yield given its benchmark role and the impact it has on mortgage rates and corporate borrowing costs. He appears to be onboard with a delay to rate cuts, based on recent media comments, but the President is probably not going to be so keen. Nonetheless, if there is a swift conclusion to the conflict and fuel prices drop sharply, Warsh will strongly suggest there is the possibility of his support for rate cuts later this year.

Structurally speaking, Kevin Warsh will emphasise the opportunity for lower borrowing costs over the medium to longer term. He clearly buys into the idea that tech/AI investment will boost productivity and allow the US to grow faster without generating inflation. To be fair, there appears to be support for this view within the broader Fed, given that within the March forecast update, officials revised higher their long-run GDP forecast to 2% from 1.8%, without altering the long-term inflation prediction. The minutes suggested that "several participants… expected higher productivity growth, associated with technological or deregulatory developments, to put downward pressure on inflation."

The Fed's balance sheet

In addition to the productivity narrative, Kevin Warsh has another theory. Every US$1tn of Fed bond holdings equates to 50bp on the policy rate (approximately). In consequence, balance sheet contraction, through bond roll-offs or outright selling, facilitates rate cuts. This is convenient, as Warsh also believes that the Fed continues to own too many bonds. The build of bond buying was a consequence of past crises, and now that they are no more, much of the bonds should be off-loaded. He's not been specific about sizes, but said that they should be significantly reduced. And he's identified Mortgage-Backed Securities (MBS) as a particular eye-sore that should be liquidated. And finally, he's advocated mostly a passive run-off, cognisant of market de-stabilisation risks.

Consider two scenarios. One is a reduction in the balance sheet right back to pre-Global Financial Crisis levels (5.5% of GDP). That would require some US$4.5tn in bond liquidations. That's unlikely, but we do develop that narrative here. More probable is a targeted sale of the US$2tn of MBS holdings. This is currently rolling off at a slow trickle, as it's primarily long in duration. But it could be subject to outright sales. It could be softened by extra T-bills buying, to prevent repo market disruption.

The issue here, however, is the impact on bank reserves. Bank reserves sit on the Fed's balance sheet, and are remunerated by the rate the Fed pays on reserves. They are there as an echo of the prior bond buying undertaken by the Fed (effectively the other side of the Fed's balance sheet). In 2019 and again through the second half of 2025, we saw repo market tightness occur as bank reserves fell to critical levels. For no particular reason, circa 10% of GDP is a level below which tightness has tended to kick in.

Kevin Warsh has suggested identification of a target for bank reserves, and keeping to that. He's not been specific as to what that level should be. The unwritten level today is US$3tn. That's sitting alongside Fed bond holdings of US$6.3tn. Simplistically, if the Fed's balance sheet was shrunk by

US$2tn, bank reserves could be pressured down to around US$2-2.5tn. In today's setup, that would cause repo issues.

The simple solution would be to offset MBS sales with T-bills buying. Not technically QE (as bills buying is short in maturity and, in a sense, akin to open market operations), but would still leave the balance sheet bloated with government securities. Warsh needs a plan to deal with this. We'll be listening for more as he testifies, albeit perhaps a bit deep in the weeds for a Senate hearing. It is *really* important though. Apart from repo issues, MBS selling with a view to cutting rates, points to a steeper curve from both ends.

Chair Powell could continue beyond 15 May

Whether Kevin Warsh will be approved quickly is another matter given the Department of Justice's probe into Fed construction work overspending. The Senate Banking Committee consists of 13 Republicans and 11 Democrats, but Republican Thom Tillis has vowed to block the confirmation until the "vindictive prosecution" of Chair Powell is ended. Until Thom Tillis is satisfied, it will be a 12-12 vote, and it can't proceed to a formal Senate vote.

Jerome Powell's term as Fed Chair notionally ends on 15 May, but until Warsh is approved, Powell will stay in the role with his term as Governor scheduled to continue until 31 January 2028. As such, tensions between the Fed and the President are likely to remain elevated, but with strong rules of governance, we think the Fed's independence is not in doubt

Author

James Knightley
Chief International Economist, US
james.knightley@ing.com

Padhraic Garvey, CFA
Regional Head of Research, Americas
padhraic.garvey@ing.com